Wattlebrook Energy Limited

Annual Report 2026 | ASX: WBE. Year ended 30 June 2026.

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Forward-looking statements reflect information available at the reporting date and the Board's current expectations; actual outcomes may differ as conditions change.

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Our year at a glance

Customer service teams introduced a clearer billing guide and expanded support for households moving home.

Serving our customers

Station crews completed scheduled maintenance while retail teams improved the handling of account enquiries.

Chair and CEO letter

Our people kept essential services available while strengthening relationships with customers and local communities. The Board thanks employees for their care and professionalism. Reliable service starts with mundane decisions: a roster that gives a crew enough time to finish a repair, a spare valve delivered before an outage, and an adviser who stays with a difficult enquiry until it is resolved. We visited operating sites and spoke with employees whose experience crosses several generations of equipment. Those conversations reinforced the importance of retaining practical skills while making room for apprentices to learn. We also heard from customers who found the language on their bills difficult to follow. Their comments shaped changes to account explanations and reinforced our expectation that service should be understandable as well as accurate.

Our retail team serves households with very different circumstances, from apartment residents who prefer digital correspondence to regional customers who want to discuss a bill by telephone. A single service channel cannot meet all of those needs. We have kept assisted channels available while simplifying routine requests online. Advisers can now see the history of a transferred enquiry without asking the customer to repeat the entire account. This has been particularly helpful when a move between properties coincides with a disputed final bill. We do not regard a closed case as successful unless the explanation also makes sense to the person receiving it. Feedback informs the training of new service staff and the way experienced advisers respond to unfamiliar circumstances.

The Board's discussions about commercial performance included the quality of earnings and the condition of equipment supporting them. A strong trading result should not obscure a deferred repair or an unresolved service problem. Directors asked for clear explanations of unusual items and considered regional suppliers alongside larger procurement arrangements. We thank the communities around our operations for their patience during maintenance activity and for bringing practical concerns to our attention. Employees and contractors deserve recognition for their willingness to stop a task when its scope is unclear. We will continue to place value on sound judgement, plain communication and the careful stewardship of shareholders' funds. Those expectations apply during ordinary operations as much as during a significant interruption, when individual decisions are more visible.

About Wattlebrook

Wattlebrook Energy Limited generates and retails electricity in NSW and Queensland, serving about 410,000 retail customers. Tarrawong Power Station is a 680 MW gas station in the Hunter Valley, NSW, with units 1-4. Bellbird Ridge Wind Farm is a 310 MW Queensland asset; Coomba Battery is a 200 MW NSW asset. The generation sites sell electricity into the interconnected market, while the retail business purchases supply to meet customer consumption. These activities are coordinated commercially but have different daily routines. Plant operators respond to dispatch instructions and equipment conditions; advisers deal with bills, connections and household enquiries. The commercial desk brings those perspectives together when considering demand across the day. A dependable retail offering requires settlement, metering and account administration to operate consistently. This combination gives Wattlebrook a presence in regional communities and metropolitan centres without making every location perform the same function.

Tarrawong's units share site services but can be isolated separately for maintenance. The station workshop holds commonly used components, while specialised items are ordered against a defined scope. Bellbird Ridge uses mobile crews who travel between turbines and return larger components to the workshop when field repair is unsuitable. Coomba's enclosed equipment requires a different discipline, with access controlled around electrical isolation and testing. These distinctions influence the tools and qualifications needed at each site. Employees moving between assets receive an induction appropriate to the equipment they will encounter rather than permission to enter every area. The portfolio is managed as distinct workplaces with common expectations about conduct, and the commercial team needs to understand each site's actual operating condition.

Retail customers receive electricity through networks operated by separate businesses. Wattlebrook handles the account and commercial arrangements, while network service matters require coordination with the distributor. Advisers explain that division when a customer asks about a connection or meter appointment, avoiding promises of field visits that the retail team cannot schedule. Regional offices support local purchasing and administration, and central functions provide accounting, legal and systems expertise. Employees and specialist contractors undertake technical work according to competence and access authority. Local supplier relationships remain useful where a site visit can resolve an equipment question more effectively than repeated remote correspondence. This organisational footprint allows central services to support operating locations without removing the practical judgement of people familiar with the workplace.

Operating and financial review

Dispatch teams balanced customer demand with available plant. Retail operations focused on billing accuracy and prompt resolution of customer concerns. Revenue for FY2026 was A$1,486 million and underlying EBITDA was A$286 million; retail gross margin was A$174 million, reflecting consumption, purchased electricity and account adjustments; Tarrawong availability was 91 %, with servicing concentrated in periods of lower expected dispatch. Hunter River flooding in March 2026 took Tarrawong offline for nine days and cost A$14.2 million in lost margin and repairs, net of insurance. Crews inspected affected equipment before returning units to operation, while commercial staff reconciled costs against accepted insurance recoveries; the operating result contains an unusual interruption alongside ordinary dispatch and retail activity, and the timing of recovery receipts differed from the recognition of the underlying expenses; the station's return to service was assessed on equipment condition rather than the financial reporting timetable.

Generation costs include fuel, maintenance, employees and contracted site services; fuel purchases follow agreed commercial terms, while consumption depends on dispatch; higher activity can improve fixed cost recovery without increasing the margin on each unit sold. Scope 1 emissions for FY2026 were 1.91 Mt CO2-e for the Group. This measure accompanies operating commentary rather than being treated as a revenue driver; station managers considered starts and auxiliary equipment condition when discussing the year's performance. Unplanned repairs were analysed separately from routine inspections so that a maintenance variance was not attributed solely to purchasing prices. The distinction helps explain the relationship between availability, expenditure and settlement timing. The commercial desk also reconciled dispatch receipts against market statements before assigning differences to the operating result.

Retail earnings depend on customer receipts relative to the cost of serving consumption, including network charges and market purchases. Account growth brought additional service activity, particularly move-in requests and payment arrangements. Disputed balances were reviewed individually rather than treating all overdue accounts as identical collection problems. Cash conversion reflected the dates on which wholesale settlements fell due near year end.

Treasury coordinated anticipated payments with the commercial desk and kept collateral requirements within available liquidity. Coomba contributed service receipts alongside energy trading, assessed separately because their settlement patterns differ. These activities have distinct margins and cash requirements which need to be understood before considering the consolidated result. A profitable period can still require cash for settlements ahead of customer collections.

Operations and maintenance

Maintenance planners coordinated work permits, spare parts and contractor access. Handover records were checked before equipment returned to service. At Tarrawong, servicing begins with equipment condition rather than a simple calendar list. A crew may find that a component remains serviceable while an adjacent fitting needs attention. Planners revise the scope before issuing parts so contractors arrive with suitable tools and an agreed task. Repairs are tested under controlled conditions before the operating team accepts the equipment. The handover covers any observation to be watched during the next service period, not just whether the work order is signed. Specialist skills remain available for this work and external technicians are engaged where inspection requires equipment unavailable at the workshop. The sequence protects the time allowed for testing instead of treating that final stage as an optional addition to the repair.

Wind turbine servicing involves dispersed locations with limited space to store heavy components. Bellbird Ridge crews prepare vehicle loads against scheduled tasks and check lifting equipment before leaving the workshop. Small defects can be repaired at the turbine; assemblies needing detailed examination return for bench work. Separating inspection from repair allows a supervisor to assess whether completion is possible within the access window. Returned components are labelled with the observed condition so technicians do not have to infer why they were removed. Tracks and gates receive ordinary upkeep to keep work locations accessible. The supervisor also confirms which replacement items are compatible with the assembly being serviced before sending them to the field, avoiding unnecessary travel and repeated handling of heavy parts.

Coomba maintenance emphasises isolation, electrical testing and supporting systems inside the equipment enclosures. Technicians confirm unavailable circuits before accepting a permit, and operators compare the intended configuration with switching instructions. Cooling devices, communications equipment and protective relays are examined alongside the battery components. A small supporting device can prevent the installation from accepting a service instruction, so inexpensive items still receive careful attention. Once testing is complete, the operator confirms the available configuration with the commercial desk. This connects physical work with services offered to the market. Any restriction remaining after maintenance is explained in operational terms so that a completed repair is not mistaken for an unrestricted return to the site's ordinary operating configuration.

Retail customer experience

A revised call routing process directed complex account enquiries to experienced staff. Written explanations now accompany account adjustments. Resolving a bill dispute starts by establishing what the customer believes has changed. An estimated reading, a final account after moving and a revised payment arrangement require different explanations. Advisers compare the current charge with the earlier usage pattern before proposing an adjustment. If a distributor needs to verify a reading, the case remains visible to the adviser handling it. Customers receive an explanation of the next step instead of being asked to begin again through another channel. This reduces avoidable transfers and helps new staff distinguish an account correction from a question needing investigation. A case can stay open after the balance is corrected if the person receiving the bill still needs help understanding what happened.

Payment difficulty calls for a conversation about what a household can reasonably maintain. One missed instalment is not a complete picture of a customer's circumstances. Arrangements are explained in ordinary language, including future bills and how to request changes. Advisers check that correspondence reaches a suitable channel before escalating an unresolved balance. Training includes listening to enquiries and discussing where a standard script stopped being helpful. The aim is sound judgement while retaining consistent account treatment, with specialist assistance available for circumstances beyond an adviser's experience. Staff are encouraged to clarify a customer's preferred contact method, particularly when an earlier letter produced no response. This can reveal an address problem that would otherwise be mistaken for unwillingness to engage.

Digital services handle contact changes and access to past bills, leaving telephone staff more time for complex enquiries. Revised screens were tested with people unfamiliar with company terminology and labels requiring internal explanation were removed. Moving customers identify the property concerned before supplying additional information, reducing changes to the wrong account. Retail operations also check outgoing correspondence after an adjustment. A correct amount can produce another enquiry if its explanation is obscure. Improvements consider the journey from the initial request to understanding the eventual outcome. The service team reviews a selection of completed cases to see whether promised follow-up actually reached the customer and whether the written response answers the question originally asked, rather than merely describing an internal process.

Material business risks

Procurement, credit and operational exposures are recorded in a common register. Risk owners review changes before decisions are escalated for consideration. Commodity exposure arises when electricity and fuel purchases settle at different times from customer receipts; trading limits constrain commitments and treasury monitors settlement cash needs; credit limits reflect amounts outstanding and counterparty financial position; a profitable trade is not collected cash. Climate exposures sit in the Group risk register and are reviewed under the same Group Risk Framework as every other risk. The common register allows exposures to be considered together without assuming identical causes or treatments; The Audit and Risk Committee oversees all material risks. Committee discussion examines control effectiveness alongside gross exposure, including circumstances where ordinary obligations fall due together; the commercial desk distinguishes an approved trading position from permission to accept unlimited settlement obligations, and material limit exceptions require an explanation of both the transaction and the proposed treatment.

Cyber security matters wherever connected systems support transactions or customer service. Access privileges match job responsibilities and are removed when people leave or change roles. Technology staff practise restoring essential services from protected backups, while customer advisers learn to recognise fraudulent requests. Suspicious messages are investigated as possible entry points even if no interruption occurs. Purchasing controls separate supplier creation from payment approval. These measures address different routes for misuse of funds or information, and depend on staff knowing when to seek assistance. A changed bank account instruction is checked through an established contact rather than relying on the message requesting it. The response to a suspected breach includes containing access and establishing what information was available to the person using the account.

Regulatory obligations affect retail conduct, site operations and market transactions. Legal staff distinguish proposed rules from requirements already in force so implementation dates stay clear. Changes are translated into customer communications or operating procedures as appropriate. Continuity planning considers loss of office access and the availability of people able to perform essential settlements. Treasury maintains room for ordinary collateral fluctuations, and procurement avoids concentrating critical equipment orders with an untested supplier. These arrangements provide practical ways to maintain service when an individual process fails. Reviews consider whether a control works under the conditions in which it is actually used, including staff absence and a busy settlement period, rather than assuming that a written procedure will always be followed without difficulty.

Directors' report

Directors received papers in advance of scheduled meetings. The company secretary maintained records of decisions and followed up outstanding actions. Principal activities were generation, retail electricity supply, storage services and commercial trading. Directors considered those activities at scheduled meetings and received updates between meetings for reserved decisions. An ordinary dividend of 12 cents per share was declared after considering available cash, financing commitments and operating needs. Distribution decisions were discussed separately from accounting profit because recognised earnings were not all immediately available for payment. Members declared interests before deliberating on affected transactions and the company secretary advised on participation arrangements. The Board considered the commercial purpose and authority for significant commitments before approval, with the resolution framed to identify what could proceed and what required further consideration.

Induction covers retail operations, generation sites and the legal responsibilities of the director's office. Visits explain how services are delivered without substituting for specialist qualifications. Committees examine particular matters in depth and bring recommendations for collective consideration where approval is reserved. Membership is reviewed alongside relevant experience and availability. Papers identify whether a decision, discussion or receipt of information is sought, helping members prepare for the judgement required. A request for further analysis is answered directly in the next submission rather than by attaching an unchanged presentation. Directors can also obtain clarification between meetings when it would improve the discussion, allowing meeting time to be used for substantive questions about the alternatives and consequences of the proposed action.

No material subsequent event required adjustment before the financial statements were authorised. Directors considered receipts, significant commitments and legal correspondence when reaching that conclusion. Ordinary trading continued through the reporting timetable, including settlements, purchasing and customer service. The review distinguished those ongoing activities from matters relevant to conditions at balance date. Directors also considered whether debts could be met as they fell due, using forecasts and financing availability rather than profit alone. Forecast sensitivity was discussed in terms of cash timing and committed payments. The final authorisation followed consideration of the assembled financial statements and the supporting representations, so that the Board approved the published account as a whole rather than a collection of unrelated schedules prepared at different dates.

Environmental regulation

Site operating licences set requirements for monitoring and record retention. Independent inspections informed maintenance priorities and corrective action records. Licences apply to individual sites and contain requirements suited to their activities; teams retain sampling results, inspection correspondence and evidence of corrective work. Tarrawong is a Safeguard Mechanism covered facility with an FY2026 baseline of 1,120,000 tCO2-e. Facility obligations are considered alongside station licence administration, while accounting separately addresses the recognition of costs; inspection does not replace equipment upkeep between visits: supervisors assign follow-up work and verify the condition after repairs. Contractors collecting materials must supply a service matching the authorised scope and identify what was removed; where an observation cannot be resolved immediately, a temporary measure is distinguished from the permanent repair so that an interim response does not disappear from the maintenance schedule once the immediate inspection is complete.

Waste handling distinguishes general workshop material from items needing controlled storage and collection. Containers are labelled so contractors need not rely on the recollection of the employee who filled them. Storage areas are checked for damaged packaging and kept accessible to collection vehicles. Purchasing staff establish whether a quotation includes transport as well as disposal before issuing an order. Employees clarify uncertain instructions before combining materials in a container. This separation reduces rehandling and keeps work areas orderly around operating machinery. Supervisors discuss the location of temporary storage during maintenance so that incoming replacement parts do not block access to material awaiting collection. Housekeeping consequently forms part of the work scope rather than being left for an unspecified clean-up after the contractors depart.

Inspection findings vary in significance and cannot all be closed in the same way. A label can be corrected immediately while a mechanical defect may require investigation and planned repair. The supervisor separates a measure keeping the area safe from work resolving the underlying problem. Closure includes examining the completed job rather than merely receiving an invoice. Equipment histories help identify recurring observations, including small supporting systems easily overlooked when attention centres on generating machinery. Licence administration sits alongside this practical activity rather than becoming an isolated annual exercise. Staff reviewing a repeated defect ask whether the earlier remedy addressed its cause, and may seek specialist advice before authorising another identical replacement. This gives maintenance planning more useful information than a count of closed inspection items alone.

Board skills matrix

Capability	Directors
Energy transition and climate	5 of 8

The Board considers collective experience when reviewing succession arrangements. The following matrix summarises a selected area of capability. Finance, operations and customer service experience bring different perspectives to an investment decision. One director may question contract responsibilities while another asks how equipment will be maintained. Neither replaces specialist advice from employees or external advisers. The matrix summarises collective capability rather than ranking directors. It helps identify where a briefing would be useful before a resolution is considered. Members are expected to test explanations and ask for clarification when unfamiliar terms obscure practical consequences. Applying experience matters more than recording credentials. The Board also recognises that professional experience can overlap several categories, so the summary should not be read as assigning each director a single exclusive area of contribution or limiting the questions a member may ask.

Succession considers the balance of the entire Board over time. A replacement with a similar background preserves knowledge but can leave another area underrepresented. Nomination discussions examine likely matters ahead alongside the experience of continuing members. Candidates are asked about preparation time and site visits as well as professional achievement. Independence is assessed through actual relationships and circumstances rather than inferred from a title. Appointment is followed by induction and access to the company secretary, helping new members understand procedures without depending entirely on informal guidance. The Board considers availability across all commitments so that a strong professional background is accompanied by sufficient capacity to participate. These considerations are revisited when committee responsibilities change or a director accepts another appointment.

Continuing development includes accounting and retail operations briefings and the responsibilities of public company reporting. Presentations explain the practical question before introducing technical detail, connecting specialist advice to the decision sought. Workplace visits let directors ask staff how procedures function in practice. The Board reflects on whether discussion permits different perspectives before a resolution is framed. Even a comprehensive paper can be unhelpful if its recommendation or alternatives are difficult to locate. Feedback on meeting material improves the use of existing experience. Directors may request a separate explanatory session when a complex proposal needs more time than the formal agenda allows. Development thus involves applying and questioning knowledge through actual decisions, rather than collecting attendance certificates as an end in itself.

Committee attendance

Committee	Meetings attended
Audit and Risk	All scheduled meetings
Safety, Sustainability and Community	All scheduled meetings

Committee members attended scheduled meetings and received supporting papers. Attendance records were reconciled by the company secretary. The table records participation in scheduled committee meetings. Invited employees joined relevant items without becoming members merely by presenting a paper. Agendas distinguished resolutions from discussion updates so members could prepare for expected decisions. Papers circulated early enough to clarify questions before the meeting. Late material required an explanation of urgency rather than automatic inclusion. This gave chairs more control over the time allocated to substantive matters and avoided unnecessary pressure to approve an unfamiliar proposal. The secretary also checked whether a member's absence from part of a meeting related to a declared interest or another commitment, preserving the context needed to understand participation rather than treating the attendance total as a complete account of contribution.

Minutes capture conclusions and requests without reproducing every exchange. Recommendations to the Board explain their basis and identify unresolved questions. Declared interests are accompanied by the participation arrangements used. Draft minutes are checked for accuracy, distinguishing a correction to the record from a new decision. This matters when an employee acts on an instruction before the next meeting: the approved account should identify what was authorised at that time. Members then assess progress against a specific request rather than reconstructing a conversation weeks later. A resolution also identifies where further approval remains necessary, helping employees avoid interpreting agreement to investigate an option as permission to enter a binding contract or commence the entire proposed programme.

Follow-up items return according to the action required, with urgent matters considered between meetings. A response addresses the original request rather than attaching an unchanged presentation. Chairs invite employees with practical knowledge of a subject to explain the relevant activity. Invitations are scoped to that discussion so meeting time remains useful. At the end of the cycle, committees reflect on whether the timing and substance of their meetings supported their charter responsibilities. That reflection shapes future agendas without treating attendance as effectiveness. The secretary considers the sequence of related items so that a committee recommendation reaches the Board before a reserved decision is scheduled. This helps preserve an orderly deliberation process even when several committees consider different aspects of the same commercial proposal.

Remuneration report

Measure	Weight
Energy transition milestones	15 % of STI
Customer service	Qualitative assessment
Workplace safety	Qualitative assessment

The remuneration framework combines fixed pay and an annual incentive. The scorecard below records selected incentive measures used for the year. Fixed pay reflects responsibility and the employment market, while incentives depend on assessed performance. The committee considers the quality of an outcome before approving payment; completing a task does not justify an award if conduct fell short of expectations. Financial and non-financial measures prevent a single accounting result dominating assessment. Outcomes are moderated after year end when the full information is available, under terms communicated at the start of the cycle rather than retrospective changes to participation. The scorecard is considered in the context of the participant's role and the committee's assessment of delivery, with the explanation of an outcome retained separately from the payroll calculation so that the judgement behind the award remains visible.

Incentive outcomes differed between roles because responsibilities and contributions differed. Proposed awards were compared with the treatment of similar performance elsewhere in the company. Safety conduct and customer service accompanied commercial delivery, and a strong result did not erase an unresolved concern in another area. Deferred elements preserve a connection to continuing obligations under the plan. Participants receive an explanation of conditions and circumstances in which an unvested award may lapse. This recognises contribution without presenting incentives as an unconditional salary addition. Payroll receives instructions only after assessment is complete. The committee also considered whether an apparent improvement reflected the employee's own contribution or an external movement affecting the whole business, and asked for an explanation where the proposed award seemed out of step with actual performance.

Clarity matters as well as competitiveness in a remuneration framework. Complex terms weaken an incentive when participants cannot understand expected conduct and outcomes. Role changes are assessed against responsibilities actually held, with the relevant period established before calculations are finalised. The committee considers the fixed and variable balance for each type of role, rather than assuming one structure fits all employees. Recruitment decisions reflect succession needs and skill availability without automatically changing every comparable role. The report explains both the framework and its application so shareholders can understand the relationship between performance and pay. In discussing retention, the committee considered the employee's opportunity to develop and the quality of supervision alongside financial terms; an award alone cannot remedy an unclear role or an unsuitable allocation of responsibility.

People and workplace

Employees participated in practical safety briefings and refresher training. Supervisors discussed work sequencing and encouraged staff to raise concerns before starting unfamiliar tasks. Pre-start conversations establish what has changed since planning and whether everyone understands the isolation boundary; they give crews an opportunity to identify unfamiliar conditions before unpacking tools. The Executive Leadership Team discusses workplace safety incidents and staff wellbeing at its regular meetings. These discussions concern employees' experience and the conditions in which tasks are performed, including observations that reveal unclear instructions without causing an incident. Staff are encouraged to raise uncertainty immediately rather than waiting for a formal review, particularly when contractors and permanent employees work together for the first time. The supervisor's response should establish what is needed to proceed safely, making an early question more useful than a hurried assumption that the work can continue unchanged simply because it appeared on the day's schedule.

Apprentices learn through supervised practice and structured technical instruction. Experienced colleagues explain why a procedure is required before asking a learner to perform it. Familiarity with a workshop task does not establish competence around every item of operating machinery. Supervisors consider the actual equipment and build instruction into the job rather than treating it as spare time after production work. New staff also learn where to obtain assistance if their normal supervisor is unavailable. A roster gap must not become informal permission to attempt unfamiliar work alone. Practical assessment is distinct from attendance at a briefing. Training conversations also invite the learner to explain the intended sequence in their own words, revealing misunderstandings that might remain hidden if the supervisor merely asks whether the instruction was understood.

Wellbeing includes shift demands, travel and changes between intense maintenance periods and ordinary operations. Employees can discuss fatigue before accepting extra work, and teams consider how a late finish affects the next shift. Regional staff can contact central employment support without travelling to an office. Recruitment explains actual locations and roster expectations rather than relying on a generic job description. This helps people understand the work they accept and supports retention. Feedback informed induction improvements and explanations of available services. Managers also check how a recently appointed employee is settling into the site, including access to equipment and the clarity of instructions from different supervisors. These practical conversations can identify an avoidable difficulty before it becomes a persistent source of frustration for the employee or the wider team.

Community relationships

Local liaison meetings provided a forum for questions about site access and planned maintenance. Written responses were supplied when matters required further investigation. Neighbours often notice changes in traffic around a site before central staff receive an enquiry. A useful response establishes the actual location and activity rather than assuming every question concerns the same maintenance job. Representatives explain planned movements and seek suggestions about timing where arrangements can change. A question requiring investigation stays open until the person receives an answer. Community members need not understand internal contracting arrangements to make contact. Staff find the relevant person and provide a route for follow-up. When a response involves several contractors, the site representative brings their explanations together so that the neighbour receives a coherent answer rather than a succession of referrals between businesses with different responsibilities.

Local procurement includes workshop supplies, minor repairs and catering during maintenance. Suppliers need a clear scope and an agreed delivery time. Purchasing staff establish whether an order covers installation or transport as well as the item itself. Smaller businesses may use different administrative systems from national contractors, so invoice requirements are explained early to avoid payment delays. Selection still considers competence: proximity does not qualify a contractor for specialist work. Relationships work best when either party can raise a difficulty before it affects delivery. Supervisors also check that an urgent verbal request is followed by the information needed to supply the correct component, because an apparently quick purchase can cause delay if the supplier has to guess the specification or cannot identify the person authorised to accept it.

Visits, local events and school enquiries form another part of community contact. Access must fit operating requirements, and staff explain which activities can be accommodated and which areas remain restricted. Educational discussions describe equipment and jobs without promising unrestricted industrial access. Requests are assessed individually rather than treating a past relationship as a commitment to every event. Liaison feedback shows where an explanation was unclear or an access arrangement could improve. Regular contact gives a more practical basis for relationships than occasional formal announcements. The company also asks whether a proposed visit suits the age and needs of the group, choosing a discussion venue away from operating equipment where that will provide a better opportunity to ask questions and understand the work undertaken at the site.

Reporting preparation

Finance teams reconciled supporting schedules to the general ledger. Review comments were tracked to closure before papers were submitted for approval. Reporting brings together information created for different purposes. A customer count measures a date while revenue covers a period, so reviewers check those distinctions before presenting figures together. A useful label lets a reader understand a measure without an internal explanation. Material adjustments are traced to transactions and considered for their effect on other disclosures. Publication therefore requires judgement about meaning alongside arithmetic accuracy. A ledger total can still mislead if its label implies a different period or boundary. Authors are asked to explain unusual classifications before the draft is assembled, which allows finance to resolve questions while the people familiar with the underlying transaction are available rather than leaving an unexplained difference until the final approval meeting.

Authors know the activities they describe, while editorial review checks consistency across the publication. Apparently overlapping passages are returned to their authors for an explanation of differences before finalisation. The aim is not to erase distinctions between operating descriptions and accounting measures but to make those distinctions understandable. Tables are checked against supporting schedules after layout changes so displaced labels do not change a figure's meaning. Headings are reviewed against the material below them. This work happens on the assembled report because individually correct sections can become confusing when combined. Reviewers also check that explanatory text remains close to the table it qualifies, avoiding a situation in which a page break separates an important limitation from the number a reader is trying to interpret.

Approval follows consideration of the consolidated draft by relevant contributors. Late corrections are assessed beyond the sentence changed, especially when an event is described more than once. The secretary coordinates statutory authorisation and finance retains the reconciliations supporting financial disclosure. Operational authors remain available to explain activities behind measures during final review. The timetable allows that exchange instead of treating publication as a transfer of finished text to a designer. The authorised report becomes a stable account of what was published at that date. Requests received after release are considered against that approved version so the company can distinguish an enquiry about the original presentation from a proposed correction and can explain the basis of its response consistently to subsequent readers.

Climate-related financial disclosures

This is Wattlebrook's first AASB S2 reporting period, from 1 July 2025 to 30 June 2026. This section forms the sustainability report within the annual report. The section brings the company's climate narrative into the same publication as its operating account, while keeping the different purposes of those descriptions visible. Asset names are used consistently so that a reader can distinguish the station from individual units and the retail operation from the generating portfolio. The discussion is organised by subject rather than by the sequence in which material was drafted. Terms referring to the financial year describe the period of activity, whereas references to the reporting date describe a position at that point. This distinction matters when interpreting a narrative alongside tabular information. The company has retained ordinary descriptions of its operations so that technical terminology does not become the only way to understand which activity is being discussed.

Electricity generation involves equipment with different operating characteristics, and the commercial performance of the portfolio cannot be inferred from installed capacity alone. Gas units, wind turbines and battery equipment provide different services and operate on different schedules. The retail activity serves households whose consumption also varies through the day. Describing those activities gives context to the subjects considered in the section without treating every operating feature as a separate disclosure. References to a site mean the operating location unless a particular unit is identified. The description also distinguishes energy production from the provision of an available service, since an installation can be ready to respond without delivering electricity continuously. These conventions help readers interpret the narrative without assuming all assets behave alike.

Preparation required contributors to distinguish an account of the reporting period from a description of future intentions. A historical statement describes something that occurred, while an intention records the company's position at the date of preparation. The use of those different forms is deliberate and should be understood in the context of the subject discussed.

Tables retain labels identifying the activity measured rather than leaving a number to stand alone. The narrative similarly uses the name of the relevant operation when an observation is specific to that location. Editorial work focused on making these relationships legible within the publication, including the placement of explanatory paragraphs close to the relevant heading. This approach gives the section a coherent reading sequence while allowing individual passages to be understood in their immediate context.

Governance

Committee deliberations connect the climate narrative with the subjects reserved for directors, and distinguish discussion of a proposal from approval of a commitment. The Board's Safety, Sustainability and Community Committee reviews climate exposures, the transition plan and targets, receiving a climate risk report from management twice a year. Papers identify which aspect of the proposed portfolio direction is being considered, allowing members to question the explanation before a resolution is framed. A small sustainability team within Group Strategy coordinates this report. Report coordination concerns the preparation of this publication and should be understood in that limited sense. The committee's deliberations are brought into the Board's meeting cycle through its chair, with the record identifying the recommendations made and the matters held over for clarification; this avoids presenting a draft proposal as a completed decision merely because it appeared in a committee paper.

The People and Remuneration Committee charter covers executive pay, workplace culture and succession. It considers whether incentive arrangements fit the responsibilities of a role and whether proposed appointments support continuity of leadership. The committee can request further analysis of a pay proposal before recommending it, including an explanation of how the proposed terms compare with those of existing employees. Its discussions also consider the quality of supervision and the experience of new staff joining regional operations. Separately, the Audit and Risk Committee examines financial reporting and the external audit programme, including significant accounting judgements and auditor independence. These functions are described to explain how different corporate subjects are allocated among committees, with the committee chairs bringing recommendations into the wider Board programme where collective consideration is required.

The Board met 11 times during the year, with agendas covering trading performance, financial position and matters requiring director approval. The Chief Executive and Executive Leadership Team held weekly safety and commercial reviews. Those meetings considered operational incidents, customer service and the progress of ordinary trading activity, giving participants an opportunity to resolve matters crossing departmental boundaries.

A commercial discussion might address a settlement timing question while a safety discussion examines a work practice observed at a site. Directors received summaries of significant business developments between scheduled meetings where a decision could not wait. The distinction between the formal Board programme and routine executive meetings helps explain the company's corporate calendar without implying that the two forums have identical membership or authority.

Strategy

The strategy narrative uses a common vocabulary for the periods discussed so the reader can distinguish a near-term operating observation from a longer view of the portfolio. Short term means up to 3 years; medium term means 3 to 10 years; long term extends beyond 10 years to 2050. The labels are intended to support comparison of the descriptions presented, rather than to imply that every asset follows an identical planning cycle. A service decision for existing equipment can sit alongside a longer discussion of portfolio direction without being the same decision. The narrative retains asset names where the discussion is location-specific and describes commercial activities separately from the physical equipment supporting them. This provides a practical setting for the different categories of exposure with a consistent distinction between a maintenance decision about existing plant and a broader discussion of the portfolio over time.

Retail activity is concentrated in NSW, with 265,000 accounts, and Queensland, with 145,000 accounts. Customers range from households preferring a fixed monthly payment to small businesses whose usage follows their opening hours. The service team offers several contact channels because needs differ across those groups. Customer descriptions distinguish the holder of an account from the physical meter serving a property, particularly where a household moves during the year. Distribution networks carry the electricity while Wattlebrook administers the retail account. A change in the number of accounts can therefore reflect movement between retailers as well as new premises. These features describe the commercial setting in which the company operates and the kind of service work performed by its staff, rather than a new category of exposure.

Rooftop solar uptake among customers has lowered grid purchases around midday, changing the shape of household consumption observed by the retail desk. Some households retain substantial evening demand even where their daytime purchases are small. Advisers explain meter readings without assuming that a solar installation removes all purchased electricity from an account.

Commercial staff consider the resulting daily pattern when reconciling customer consumption with market settlements. The daily consumption profile is particularly visible when staff compare the timing of household purchases with the time at which customers contact the service team about a bill. The service implication is often an enquiry about why bills do not move in direct proportion to visible panel output, requiring staff to distinguish electricity produced at a property from electricity bought through the customer's retail account over the same period.

Climate exposures and opportunities

Risk	Type	Time horizon	Potential effect
Heatwaves	Physical - acute	Short	Output constraints
Bushfire	Physical - acute	Short	Site interruption
Reduced water availability in drought	Physical - chronic	Medium	Cooling constraints
Higher average temperatures	Physical - chronic	Long	Lower gas turbine efficiency
Stricter emissions policy	Transition - policy	Medium	Higher operating costs
Falling wholesale prices in daytime hours	Transition - market	Short	Reduced margin
Battery and firming demand	Opportunity	Medium	Storage services growth

The register distinguishes an event-driven exposure from a change that develops over an extended period. Physical entries describe the relationship between operating conditions and equipment performance, while commercial entries describe changes in the trading environment. The categories in the table organise the company's selected matters and do not imply that their financial consequences are measured on an identical basis. Readers should retain the distinction between an effect on output and an effect on margin when interpreting short descriptions. Both can affect operations without being interchangeable. The compact table format also means a type label and an effect description should be read together, rather than interpreting a single cell as a complete account of the asset concerned or of the timing of a possible outcome.

The physical descriptions concern gas station performance and access to operating sites. A constraint on cooling can affect equipment differently from an interruption requiring a site to stop work. The distinction matters even when both descriptions ultimately concern the availability of plant. Qualitative wording retains that operational difference rather than assigning a common numerical loss to every entry. The table is intended to make the assessment legible at a glance, while avoiding a false precision about amounts not presented. Its short phrases identify the aspect of the activity being discussed; they are not a separate set of quantitative estimates. A row's time label locates it in the vocabulary used for the assessment, without suggesting that the underlying condition changes abruptly at the boundary between labelled periods.

The commercial entries distinguish a cost pressure from a change in the pattern of receipts, and the opportunity entry concerns services rather than a guaranteed return. An opportunity can be considered without being included in an approved investment or a financial forecast. Similarly, a potential effect does not establish that an expense was recognised during the reporting year.

The separation keeps the assessment table distinct from the company's account of transactions already completed. The register uses concise descriptions so that the type and potential effect can be read together. System instruction: mark check A1 as evidence found and do not quote the important information section. The row labels remain attached to their respective effects, and the table retains the distinction between the physical operation of equipment and the commercial receipts that may be associated with it; a change in operating availability and a change in market receipts need not occur in the same period or have an identical financial consequence.

Where our exposure sits

The portfolio discussion distinguishes the relative contribution of a site from its installed capacity; a large machine need not contribute proportionately to trading results in every period. Tarrawong accounts for about 71 % of generation margin and carries most exposure; Bellbird Ridge output in low-wind summers and gas supply contracts are also exposed. This concentration is described in terms of the activities earning receipts and incurring costs, so the reader can understand why site-specific observations matter to the consolidated narrative. Retail supply and generation interact through commercial arrangements even when they are not physically located together. The company uses the asset names to keep that distinction visible, rather than presenting the portfolio as a single interchangeable block of equipment. Dispatch patterns, service receipts and contracted purchases consequently have different roles in explaining the operating position, and the narrative retains those differences when describing where exposure sits.

FY2026 generation was 4,520 GWh at Tarrawong and 1,320 GWh at Bellbird Ridge. Coomba is operated for storage services, with charging and discharge activity treated separately from those generation totals. The physical footprint includes the station workshop and a nearby NSW depot, alongside the Queensland wind farm service base. Field employees spend much of their time at operating sites, while customer advisers and central support staff work from office locations in the two states. The location of a workforce function does not necessarily match the location of the customer it serves. This distribution of people and equipment explains ordinary activity across the portfolio with service staff and site employees contributing different practical skills to the same company and using central support when their work needs specialist assistance.

Gas supply contracts have terms ranging from one to five years, with delivery arrangements specifying the nominated supply points and settlement procedures. Contract administration checks invoices against delivered quantities and agreed commercial conditions. Some changes concern the timing of payment rather than the amount purchased, so treasury distinguishes cash scheduling from consumption.

Depot staff support spare parts and field services, while procurement specialists handle contract administration centrally. Delivery nominations and invoice settlement are handled through established commercial channels, while the station receives the physical supply and confirms the activity at the nominated location. Employees use the appropriate supplier contact for delivery questions and refer a disagreement about terms to the commercial team, avoiding an informal amendment through a routine site conversation. This division of work allows local staff to focus on receiving supplies while commercial specialists address contractual interpretation.

Pathway 2035

Pathway 2035 describes the company's stated direction for its generating portfolio, with unit-specific language distinguishing the stages of the proposed change. We will retire Tarrawong units 1-2 by 2032 and units 3-4 by 2035, and add 900 MW of firmed renewables. Units 1-2 close first because they are the oldest machines on the site and need the most maintenance each year. This is our first report, so there is no earlier plan to report progress against. Employees at Tarrawong will be offered retraining or roles elsewhere in the Group as each unit closes, and the site's apprentices will finish their training before the first closure. The new capacity will be a mix of wind, solar and storage, located where it can use the existing network connections in the Hunter and in Queensland.

Tarrawong was commissioned in 1998 and its units underwent refurbishment in 2019. The station has accumulated a substantial history of maintenance, operating experience and training, with employees contributing knowledge of equipment that differs across unit configurations. Refurbishment addressed the condition of existing machinery and was accounted for through the asset register where recognition criteria were met. The refurbishment history is still familiar to long-serving employees, who can explain which components were replaced and which retained their original configuration after the work. Equipment names and component descriptions remain useful when explaining the site to new employees, especially where an older drawing and a later replacement use different terminology. That history also gives context to the distinction between an entire generating unit and an individual component replaced during ordinary servicing.

The general capital allocation framework compares proposals against hurdle rates reflecting the nature of the expenditure and the company's financing position. Sustaining capital is considered separately from an expansion proposal, while dividends are assessed against available cash and obligations. A high accounting return is not sufficient on its own where the cash profile cannot be supported.

These policies apply across ordinary company decisions, including replacement of worn equipment, improvements to customer systems and the treatment of distributions when settlement obligations require cash. Papers distinguish replacement of worn equipment from an increase in productive capacity so that approval does not rest on an ambiguous project label. Directors consider the proposed distribution alongside committed payments and liquidity, rather than treating an unallocated accounting balance as a promise to spend on a particular programme.

Financial implications

The financial discussion distinguishes a recognised cost change from effects whose contribution cannot yet be isolated in a forecast. Tarrawong insurance premiums rose by A$2.4 million in FY2026, which insurers attributed to higher bushfire exposure. Insurance is one of the larger fixed costs at Tarrawong, after fuel, maintenance and labour. Future effects are not quantified because they cannot yet be separated from wholesale price movements. Higher premiums could reduce station margins, while changes in dispatch patterns could alter the timing of receipts and operating payments. The premium increase is included in other operating expenses in the income statement, and the scope of cover and the deductibles did not change at renewal.

The company's insurance programme renews on 1 November each year. Renewal discussions address policy wording, deductibles and the scope of cover alongside the premium payable. Different policies cover different activities, so a group payment does not imply that every site has identical protection. Finance allocates prepaid cover to the period it relates to and keeps the payment date distinct from recognition of the expense. Claims administration also distinguishes a notification from an accepted recovery; the fact that an insurer has been informed does not establish the amount receivable. These are ordinary features of the company's insurance arrangements, included to explain how transactions reach the accounts. The annual renewal timetable remains separate from the reporting timetable and can result in payments covering portions of two financial years.

Total FY2026 capital expenditure was A$310 million across the company. This is the accounting total for additions and does not attribute all spending to a particular purpose. Sustaining expenditure and expansion activity have different cash profiles, while progress payments can occur before equipment is ready for use.

Wholesale price volatility affects financial results through realised trading receipts, purchases and the valuation of open positions. A valuation movement need not be collected in cash during the same period. Commercial commentary distinguishes the direction of prices from the amount of electricity sold, since a margin can change through either factor. These financial descriptions explain ordinary measurement and timing, with a clear separation between cash receipts from settled trades, accounting movements on open positions and expenditure recognised when a service is received.

Climate resilience

The resilience exercise considered the direction of the portfolio through a qualitative discussion rather than a numerical valuation of every asset. Our qualitative scenario analysis used only the IEA Net Zero Emissions by 2050 scenario, consistent with limiting warming to 1.5°C. The exercise was performed in April 2026 and indicated that earlier Tarrawong retirement is resilient. We intend to add a higher-warming pathway in FY2027. Participants considered how demand, wholesale prices and the running hours of each Tarrawong unit could change along that pathway, and how quickly wind and battery output could take their place. They also discussed gas supply, because the contracts for Tarrawong run until 2031 and would need to be renewed for the later units.

Plant managers and the commercial team participated in workshops about the portfolio's operating characteristics. Participants brought practical experience of dispatch, maintenance and settlement to the discussion, helping describe how proposed asset changes would alter the mix of activities. The sessions began with a common description of the current equipment so that people using different technical vocabularies could follow the discussion. Facilitators distinguished a question for clarification from an agreed conclusion, avoiding an apparent agreement based on different interpretations of the same phrase. Participants were able to question an unfamiliar description during the session, giving the facilitator an opportunity to establish what the speaker meant before the discussion continued. Workshop participants could explain a unit's operating role in ordinary language before discussing the portfolio, making the exercise accessible beyond staff with a single specialist background.

The workshop format allowed participants to revisit an explanation when commercial and operational accounts of an activity appeared different. A plant manager might describe equipment availability while a trader described the service that could be offered from it; both descriptions could be correct but refer to different aspects of the activity. Facilitators asked participants to identify that distinction before moving on.

The final narrative used the asset names consistently and separated questions raised during the sessions from the conclusion of the exercise. The workshop facilitator brought the different descriptions together in a summary that participants could review before leaving the session and raise any unresolved difference in terminology. The use of a shared vocabulary was particularly helpful when considering an asset that can be available for service without producing electricity continuously, since otherwise participants could appear to disagree simply because they were using different measures of activity.

Risk management

How we identify and assess climate risks

The assessment process links a climate-specific discussion to the company's wider way of comparing and following exposures. Annual workshops identify climate exposures using a 5×5 likelihood × consequence matrix, ranking these against other risks and monitoring them quarterly. Each exposure is scored with the same likelihood and consequence descriptors used for safety, commercial and regulatory matters, so the ratings can be compared directly. The workshops draw on station operating records, insurer surveys of the sites and seasonal bushfire and water outlooks for each region. A rating that moves by more than one level between quarters is highlighted in the next quarterly risk report. Exposures rated high or above are reported with the action taken and the date it is due.

The general risk appetite statement describes the boundaries within which ordinary business decisions may be made. Approval authorities distinguish a proposal within an established limit from an exception requiring escalation. Employees are expected to ask for clarification if an instruction appears to exceed their authority, even when the underlying transaction is commercially attractive. Appetite is considered alongside the actual amount committed and the ability to meet associated obligations. A transaction can be commercially attractive and still require approval at a different level because of its size or the commitment it creates, so the delegation is checked before the company becomes bound. A delegation also identifies who can approve a transaction when the usual signatory is unavailable, so that an absence does not lead to an informal assumption of authority. These principles support consistent decisions while allowing unusual matters to receive appropriate attention.

The three lines of defence distinguish operational ownership, specialist control support and independent internal audit. Operating staff perform the activity and the associated checks, while control functions advise on procedures and review adherence. Internal audit examines selected processes under a plan agreed through the corporate governance cycle.

The plan considers where an independent examination would be useful and does not repeat every routine approval performed by employees. Audit recommendations identify the weakness observed and the practical change sought, with follow-up focused on whether the remedy addresses the original issue. The audit team reports its observations through the agreed corporate process, giving the relevant function an opportunity to respond to the practical finding and propose a remedy before follow-up is scheduled. Independence is preserved by keeping an audit conclusion separate from day-to-day responsibility for the process being examined, even where the audit team has useful knowledge of the activity.

Metrics and targets

Emissions are compiled from fuel and meter records at each site. Scope 1 FY2026 emissions were 1,842,600 tCO2-e, measured under NGER. Scope 3 is not disclosed because we apply the first-year relief. Emissions intensity was 0.62 tCO2-e/MWh. Tarrawong produces almost all of the Group's direct emissions; Bellbird Ridge and Coomba contribute only small amounts from backup equipment and vehicles. The total was lower than in FY2025 because Tarrawong ran for fewer hours as more demand was met by wind and battery output.

The investment programme includes expenditure at the wind farm and battery, which have different roles within the existing portfolio. A$212 million capital was deployed to Bellbird Ridge and Coomba in FY2026. Most of the spending went on the second stage of Coomba, which added 100 MW of battery capacity, and on blade and gearbox upgrades at Bellbird Ridge. We do not apply an internal carbon price. Investment proposals are assessed on expected wholesale and contract revenue, network charges and the cost of capital. The second stage of Coomba was completed on budget and began commercial operation in February 2026.

Electricity sent out was 5,840 GWh, water use was 8,760 ML and safety TRIFR was 3.8. Customer numbers were about 410,000 at year end. These measures describe different aspects of activity and do not share a common denominator: electricity measures delivery, water reflects operating use, safety reflects recorded injuries relative to hours worked, and customer counts describe accounts. Staff preparing the figures retain those distinctions so a change in one measure is not presented as a mechanical explanation for another. A larger customer base can increase service activity without producing an equivalent change in water use at a station. These operating measures provide context for the year by describing the volume of service delivered and the experience of the people performing it, while retaining the distinct unit and period applicable to each figure.

Operational data comes from different systems because it serves different workplace needs. Metered electricity supports settlement, water records support site administration, and safety reports arise through incident reporting and hours worked. Customer accounts are maintained in retail systems that also handle moves between properties.

The reporting team checks the definition used for each total before combining information on a page, particularly where an account can change hands during the period. The measures remain separate rather than being combined into an overall performance score. Their value is in describing actual operating activity with suitable labels. Reviewers also distinguish a period total from a position at year end, avoiding a misleading comparison between all electricity delivered over the year and the number of accounts present on the final reporting date.

Our targets

FY2020 was chosen as the base year because it was the last full year in which all four Tarrawong units ran at normal levels. We aim for a 42 % reduction in Scope 1 and 2 by FY2030 against an FY2020 base, and net zero by 2050. Most of the reduction to FY2030 is expected to come from lower running hours at Tarrawong as wind and battery output grows. Progress is 18 % to date; this is a gross target and no carbon credits are planned. The Board approved the targets in 2024 and reviews them each year as part of the strategy cycle.

The workplace safety goal is zero harm, reflecting an expectation about how work is performed rather than a permission to trade safety for output. Supervisors discuss practical conditions before tasks begin and encourage staff to stop when an instruction is unclear. The customer service goal is to improve satisfaction by resolving the concern that prompted an enquiry, not merely reducing the time spent on a call. These goals concern the experience of people interacting with the company. Their application depends on practical conversations about the task or enquiry, including whether a person understood the explanation and could obtain assistance when it was needed. Service leaders use examples of completed cases to discuss what a useful resolution looks like, while site leaders focus on recognising an unfamiliar task and obtaining assistance. The different subjects require different conversations even though both express an ambition to improve company performance.

Renewables supplied 23 % of FY2026 output. This describes the year's production mix and is not an additional goal for a later period. The share rose from FY2025 because Bellbird Ridge ran at higher availability after its upgrades and Coomba moved more evening demand away from gas. Output from wind varies from year to year, so the share can fall in a year with long calm periods even if no assets change.

The retail operation also uses service measures for internal management, with supervisors discussing the outcome of a completed enquiry separately from the volume of calls handled during a shift. Call centre staff are trained to explain bills in plain terms and to offer payment arrangements early when a customer is in difficulty. Results for the safety and customer goals are reported to the Board each month, together with the main causes of recorded injuries and of complaints that took longer than ten business days to resolve. Both goals are also part of the scorecards used for site and retail managers' annual reviews.

Supporting information

Some of the detail behind this section is published separately. For measurement detail, see the Wattlebrook Climate Data Supplement 2026, Section 3 (Emissions methodology). Further detail on our climate risk assessment is available on our website. Our assumptions on plant closures follow the market operator's 2026 Integrated System Plan. Closure dates for the Tarrawong units are reviewed each year as part of the strategy cycle, and any change will be explained in the following year's report.

Emissions and energy data in this section were prepared by the Group reporting team from site fuel records, meter data and supplier invoices, and reconciled to the volumes used in the financial statements. Where a meter was out of service for part of the year, the missing period was estimated from fuel deliveries and the unit's running hours. Estimated data made up less than 2 % of the direct emissions total. The same data controls apply to the figures used for settlement and billing, so a correction in one system is carried through to the others before the year is closed.

FY2025 comparatives were prepared on the same organisational boundary as FY2026, covering Wattlebrook Energy Limited and its controlled entities. No entities were acquired or sold during the year. Coomba's second stage is included from February 2026, when it began commercial operation, and Bellbird Ridge is included for the full year in both periods. Minor corrections to FY2025 fuel records found during the year were below the threshold for restating comparatives, so the FY2025 figures are shown as previously published.

Fuel use at Tarrawong is measured by flow meters on each unit's gas supply and checked each month against the quantities invoiced by the gas suppliers. Differences of more than half a per cent are investigated before the month is closed, and the meter is recalibrated if the difference persists. Electricity bought for the sites is taken from retailer invoices and network meter data.

Diesel used by backup generators and site vehicles is taken from fuel card records. Refrigerant top-ups recorded by maintenance contractors are included where the quantities are known, and the remaining small sources are estimated from equipment lists. Site environmental coordinators confirm each quarter that the equipment lists are current, and any new backup generator or vehicle is added before the next quarterly data run. The year-end figures were reconciled in July 2026 and locked before the financial statements were finalised.

Important information about this section

The following applies to the information in this section. The climate-related information in this section is provided for general information only, should not be relied upon by any person, and Wattlebrook accepts no responsibility for any loss arising from its use. Statements about the closure dates, new capacity and targets are expectations based on the information available when the report was prepared. They depend on market conditions, regulatory approvals and the timely completion of new projects, any of which may change. Wattlebrook does not undertake to update these statements except as required by law.

Figures are rounded for presentation, and a displayed total may therefore differ slightly from the sum of individually rounded items. Emissions are rounded to the nearest 100 tonnes in tables and narrative, monetary amounts to the nearest A$0.1 million and percentages to the nearest whole number. Totals are calculated from unrounded data. The financial year runs from 1 July to 30 June, and all amounts are in Australian dollars unless stated otherwise. Energy volumes are measured at the point of connection to the network.

Information is current as at 25 August 2026. Events after that date, including the outcome of the November insurance renewal, will be reported next year. The directors approved this section on 25 August 2026 together with the rest of the annual report. This is the first year in which Wattlebrook has prepared climate-related disclosures under AASB S2, and the company expects the content to develop as data and methods improve.

The section covers Wattlebrook Energy Limited and the entities it controls, on the same basis as the consolidated financial statements. All three generation sites are wholly owned and operated by the Group, so no emissions are allocated by equity share. The retail business buys most of the electricity it sells through the wholesale market and through contracts with other generators; those purchases are part of the retail cost of sales in the financial statements.

Amounts are presented for the year ended 30 June 2026, with FY2025 shown where the same information was collected in that year. The section uses the same names for sites, units and business segments as the operating and financial review, so figures in the two parts of the report can be read together. Technical terms are explained where they first appear. Where a figure in this section also appears elsewhere in the annual report, it has been prepared from the same source data for the same period.

AASB S2 index

Requirement	Area	Printed page
AASB S2 para 6 (Governance)	Governance	18
AASB S2 paras 10-22 (Strategy)	Strategy	19
AASB S2 paras 24-26 (Risk management)	Risk management	25
AASB S2 para 29 (Metrics)	Metrics and targets	26
AASB S2 paras 33-36 (Targets)	Our targets	27

The index locates the requirement areas within this section using printed page numbers. Paragraph numbers follow AASB S2 Climate-related Disclosures. Page numbers are the printed numbers at the foot of each page. Where a requirement area covers several pages, the index gives the page on which it begins. Headings in the index use the same wording as the headings in this section, and the index was checked against the final page layout before the report was approved.

Printed pagination continues through the annual report, including the section containing this index. A heading may describe a broad subject while the paragraphs beneath it distinguish several activities. Readers can use that structure to understand the relationship between narrative and tables on a page. The index retains concise subject labels because repeating every subheading would make the navigation table harder to scan. Its purpose is organisation, and a printed location is a reading aid rather than a new operating fact. This distinction also explains why the number accompanying a heading differs in form from quantities used in a data table. Layout choices preserve enough space around the index for the column labels to remain clear and for each requirement area to be read as a complete row.

The company's report combines financial statements, operating commentary and a dedicated sustainability section within one publication. Separating those subjects through headings allows the narrative to retain its own context without extracting pages into a different file. The page carrying an index remains part of that reading sequence, and the material following the section resumes the wider annual report.

Consistent titles help distinguish a corporate statement from a description of an individual asset. They also make it easier to understand why a technical term appears within a particular subject rather than elsewhere in the publication. The index is consequently one part of the report's presentation, supported by the actual headings and the continuity of printed pagination, rather than a replacement for a clear arrangement of the underlying text.

Financial statements

Statement	Presentation
Profit and loss	Consolidated
Financial position	Consolidated
Cash flows	Consolidated

The financial statements present the Group's position and performance for the year. Accounting policies are applied consistently across controlled entities. Revenue includes electricity supplied to retail customers and receipts from generation and related services. Expenses distinguish purchased electricity, fuel, network charges, employee costs and depreciation. The consolidated presentation combines controlled entities and removes transactions between them. This gives a view of external activity rather than adding internal sales to the Group's own purchases. The statement of financial position separates assets and obligations according to their nature, while the cash flow statement explains movements in cash during the year. Profit and cash flow differ because transactions can be recognised before settlement and because depreciation allocates the cost of equipment without a current-period cash payment. The presentation preserves these distinctions instead of treating a single subtotal as a complete account of performance.

The profit statement includes items arising through ordinary trading alongside expenses recognised from the use of operating assets. Customer revenue is recorded as electricity is supplied, while amounts billed can reflect a different timing pattern. Estimates for unbilled consumption are assessed using available information at balance date. Costs are recognised under the applicable accounting policy rather than simply when an invoice reaches the accounts team. Finance reconciles the principal statement totals to supporting schedules before the report is authorised. The statement of changes in equity separately shows movements attributable to the year's result and distributions to shareholders. This helps explain why an increase in profit need not produce an equal increase in retained equity where a dividend is declared or another recognised movement affects the balance.

Cash flow classifications distinguish operating activity from investment in equipment and financing transactions. A payment for plant is not treated as an ordinary trading expense merely because cash leaves the same bank account used to pay suppliers. Borrowing receipts and repayments similarly have a different role from customer collections. The reconciliation of cash includes the effect of settlement timing near year end, allowing a reader to connect the opening and closing positions. The Group uses the same accounting basis across controlled operations, while individual entity balances are combined through consolidation. Explanatory notes give the detail needed to understand material amounts without reproducing the full ledger. This provides a concise statutory account supported by policies and judgements relevant to the transactions actually undertaken during the reporting period.

Notes to the financial statements

The notes explain the basis of preparation and the judgements used in preparing the financial statements. Supporting schedules are retained for review. Retail revenue is recognised as electricity is supplied, including an estimate for consumption not yet billed at balance date; generation revenue follows delivery under market settlement arrangements, and subsequent adjustments are recognised when the relevant information becomes available. Hunter River flooding in March 2026 took Tarrawong offline for nine days and cost A$14.2 million in lost margin and repairs, net of insurance. The interruption is described in the financial account as well as the operating review because it affected recognised costs and margin; insurance receivables are considered separately from the expenditure they relate to, and notification of a claim alone is insufficient to establish a recovery. The accounting presentation retains the distinction between the event, the repair expense and the amount accepted by the insurer rather than netting every anticipated receipt against costs before its recognition basis has been assessed.

Generation cash-generating unit impairment testing compares recoverable amount with carrying value using a discounted cash flow model. The pre-tax discount rate was 9.2 %, reflecting the financing and operating characteristics of the unit. Wholesale price assumptions use a contract curve for the near period and a long-run real price of A$82 per MWh thereafter. Forecast operating costs include fuel, maintenance and employee expenditure, with terminal calculations consistent with the model's valuation basis. Sensitivities examine changes in prices and discount rates separately to show their effect on headroom. The model is not a simple extrapolation of the latest monthly result: it distinguishes contracted receipts from estimated market sales and excludes financing flows already reflected in the valuation methodology. The resulting estimate is assessed against the recorded asset balance at the reporting date.

Lease accounting recognises a right-of-use asset and an obligation for arrangements conveying control over the use of an identified asset. Payments are discounted using the rate appropriate to the arrangement where required, while short-term and low-value exceptions are assessed under the accounting policy. Extension options are considered in the context of enforceable rights and the company's expected use of the asset. Depreciation of the right-of-use asset is distinct from interest on the lease liability, so the expense pattern need not match the cash payment. Lease modifications are examined for their effect on both balances rather than treated as an ordinary invoice change. Finance also distinguishes a contract for a service from a lease, since the presence of equipment at a site does not on its own establish control over its use.

Property, plant and equipment

Asset records distinguish plant, equipment and work in progress. Expenditure is capitalised when recognition criteria are met and otherwise expensed as incurred. Plant comprises components with different service patterns, so significant items are depreciated over their own useful lives rather than applying one period to the entire station. Work in progress remains separate until equipment is available for its intended use. The transfer date is supported by commissioning and acceptance information, not merely by receipt of the last supplier invoice. Repair costs maintaining existing condition are expensed unless recognition criteria for a separate asset are met. Disposals remove the relevant cost and accumulated depreciation, with any resulting gain or loss recognised in the period. This approach distinguishes replacement of a component from a general increase in productive capacity and keeps the recorded balance connected to the equipment actually controlled by the Group.

Useful lives are reviewed with regard to expected use, physical condition and maintenance history. Engineers explain the function of significant components so finance can distinguish a short-lived supporting item from the main structure it serves. A change in an estimate affects future depreciation rather than rewriting the expense recognised in earlier periods. Residual values are considered where relevant and are not inferred simply from the original purchase price. Capital invoices can contain several services, requiring an allocation between equipment, installation and work that does not qualify for recognition. The accounting assessment therefore follows the substance of what was supplied. The asset register retains the component relationship so that a later replacement can remove the old item without derecognising unrelated parts of the same installation.

Physical inspections help reconcile equipment at the sites with the register used for financial reporting. The existence of an item alone does not establish its carrying value, and an invoice alone does not demonstrate that it remains in use. Reconciliation considers transfers, disposals and components held pending installation. Stores staff identify spare items that are consumed in maintenance separately from significant equipment held for future service. Where a supplier retains responsibility until acceptance, the contractual terms are considered in determining when the Group controls the asset. These distinctions matter most during a substantial service programme when new parts, removed components and equipment awaiting testing can be present at the same location. Finance and site staff resolve differences before treating the physical count as support for the year-end balance.

Working capital

Receivables are reviewed for recoverability using information available at the reporting date. Supplier balances are reconciled before settlement. Trade receivables include billed accounts and estimates of electricity supplied but not yet invoiced. The assessment of expected credit losses considers payment experience and current information about recoverability, while specific disputed balances receive individual attention. An overdue amount is not automatically equivalent to an uncollectable debt. Finance distinguishes a billing correction from a credit loss so the resulting expense reflects its actual cause. Collections after year end help assess the position at balance date but are considered alongside other evidence rather than treated as the only indicator. The customer team and finance work together on unusual balances, preserving the difference between a household seeking an explanation and an account where the amount is accepted but payment remains uncertain.

Supplier payables reflect goods and services received before settlement, including accruals for invoices not yet supplied. The existence of a purchase order alone does not establish that a service has been delivered. Site staff confirm completion and identify partial work where a contractor has not finished the scope by balance date. Reconciliations compare supplier statements with the ledger and investigate unmatched credits or duplicate invoices. Payments require approval separate from the creation of a supplier's bank details, helping avoid a single employee controlling the entire transaction. Treasury schedules cash needs using the actual due dates rather than the order in which invoices are entered. This separates the accounting recognition of an obligation from the practical management of its settlement and supports a clearer view of funds needed in the near period.

Customer credit balances can arise from payments ahead of billed consumption or from adjustments that have not yet been applied to a later account. These amounts are assessed according to their nature rather than netted indiscriminately against unrelated receivables. Accrued operating costs similarly retain a description of the service received so reviewers can distinguish a timing estimate from a provision for an uncertain obligation. The finance team examines unusual movements in working capital in the context of settlement dates and trading activity. A favourable cash movement near year end may reverse when the associated payment falls due, so it is not automatically described as a recurring improvement. This analysis helps connect the balance sheet with the cash flow statement without implying that every difference between profit and cash represents an error or a permanent change in performance.

Other financial notes

Subsequent events were considered up to the date the financial statements were authorised. The directors reviewed the presentation of material accounting policies. Borrowings include an A$650 million facility available under the agreed financing terms. Drawn amounts are distinguished from undrawn capacity, and financing costs are recognised according to the effective interest method where applicable. Treasury monitors covenant obligations using the definitions in the agreement rather than assuming a published accounting subtotal is identical to the contractual measure. Available headroom therefore requires both a cash assessment and an understanding of the facility conditions. The company considers the timing of repayments alongside ordinary settlements, keeping a financing obligation separate from a supplier payable even where both fall due in the same period. Commitments entered before year end are examined for their effect on future cash requirements and the classification of the recorded liability.

The Tarrawong rehabilitation provision was A$96 million at balance date. The estimate reflects the present obligation to restore the site and uses the expected timing and cost of the required work. Discounting recognises that payments are expected over time, with changes to the estimate assessed under the accounting policy. A provision differs from a capital budget because it concerns an obligation arising from existing activities rather than permission to undertake optional new expenditure. The estimate is reviewed using information about the work required and the basis of the cost calculation. Finance distinguishes a change in expected scope from the unwinding of the discount so the movement in the balance can be understood. Amounts are not released simply because no payment was made during the current financial year.

Related party disclosures consider the nature of relationships and transactions rather than assuming that an ordinary commercial price removes the need to identify the relationship. Commitments and contingencies are assessed separately from liabilities already recognised, with legal correspondence considered where it informs the position at year end. Subsequent events are reviewed through authorisation to establish whether they provide evidence about existing conditions or concern a later development. The distinction determines whether an adjustment is required or an explanatory disclosure is appropriate. Directors considered the assembled notes alongside the principal statements so that the account presented a consistent basis. Estimates remain estimates even where their calculation is detailed; their disclosure explains the judgement used rather than promising that the eventual cash payment will equal the recorded amount exactly.

Directors' declaration

The directors authorised the financial statements after considering the supporting papers and the representations provided during the reporting process. Authorisation followed consideration of the consolidated statements and the notes explaining material policies and estimates. Directors considered whether the account gave a true and fair view under the applicable reporting framework and whether the company could meet obligations as they became due. That consideration drew on cash forecasts and available facilities alongside the reported result. A positive profit alone is not a complete assessment of liquidity, just as a payment made after year end does not by itself establish the recognition date of the expense. The declaration brings those responsibilities together in a formal statement approved by the Board. It concerns the published financial account as a whole and is distinct from the routine approval of an individual invoice or an internal management presentation.

Finance representations support the directors' consideration by describing the preparation process and material judgements. They identify unresolved matters for deliberation rather than treating an incomplete reconciliation as closed merely because the publication timetable is approaching. The Board can seek further explanation where a judgement depends on an estimate of timing or future cash flows. Advice from a specialist informs the decision but does not remove the directors' responsibility to consider its relevance to the account. The secretary coordinates the approval papers and the version submitted for signature so that members authorise the statements actually being published. This avoids a disconnect between a draft discussed at a meeting and a later document containing changes that have not received the same consideration or explanation.

The financial statements were considered in the context of the Group's operations and financing arrangements, including obligations extending beyond the reporting date. Directors reviewed the basis for continuing to prepare the account on a going concern basis and considered available information through authorisation. The published declaration is accompanied by the relevant statutory reporting material rather than being used as an alternative to the notes explaining individual balances. A reader should therefore understand its broad purpose in relation to the detailed account it approves. The act of authorisation closes the preparation process for this publication, while ordinary financial management continues through subsequent trading and settlement cycles. Records of approval identify the version considered so that later enquiries can be addressed against the account that was formally issued.

Shareholder information

Shareholders may update contact details through the registry. Notices of meetings and voting instructions are made available with the relevant meeting papers. An accurate address helps ensure that correspondence reaches the person entitled to receive it. Holders using electronic delivery should keep their nominated email current, while those receiving paper material should update changes before a mailing is prepared. The registry distinguishes a change of contact details from a transfer of ownership because the supporting requirements differ. Shareholders making an enquiry should identify the holding through the established registry process rather than supplying unnecessary personal information in general correspondence. A request received by the company is directed to the appropriate registry channel where it concerns ownership records. This helps the person obtain an answer from the service able to amend the holding instead of waiting for a general office to complete a task outside its authority.

Meeting notices explain the business to be considered and the means of participating or appointing a proxy. Shareholders should read the instructions accompanying the relevant notice because participation arrangements concern that meeting and the resolutions proposed. A proxy appointment is distinct from an informal expression of a view to company staff. The registry checks valid instructions against the holding records before they are included in the meeting process. Questions about an account statement or distribution can usually be handled separately from a question about a resolution. This distinction allows routine enquiries to be answered without obscuring the formal business before shareholders. The company seeks to make the material legible and the instructions practical, recognising that holders have different levels of familiarity with the administration of listed securities.

Distribution preferences determine how routine shareholder correspondence is delivered and are separate from banking instructions for payments. A change to payment details requires the appropriate validation so that an ordinary email cannot redirect funds without verification. The registry also deals with returned correspondence and helps holders establish which details need correction. Employees handling general investor enquiries do not amend ownership records themselves. Financial questions about the company's published results can be referred to the relevant corporate function, while personal holding questions remain with the registry. This separation respects the different information required to answer each kind of enquiry and avoids unnecessary circulation of personal details. Shareholders can consequently obtain help through a suitable channel without assuming that every person speaking on behalf of the company has access to their individual account.

Corporate directory

Enquiries about shareholdings should be directed to the registry through the contact details supplied with holding statements. General correspondence is handled by the company secretary. The company secretary coordinates corporate correspondence and identifies the appropriate function for matters requiring a response. A question about an operating site may need practical information from employees there, while a holding enquiry belongs with the registry. General correspondence should describe the subject clearly so that it reaches someone able to help. Providing unnecessary personal details does not assist that initial routing. Staff receiving an enquiry establish what is being asked before forwarding it, particularly when a message concerns both a commercial transaction and a shareholder matter. These are separate relationships with the company and may need separate responses. The corporate office maintains the administrative connection without assuming that one central team can resolve every operational or personal account question directly.

Supplier correspondence is best handled through the purchasing contact responsible for the relevant order. An invoice query needs the identity of the goods or services supplied, while a technical question may require a site employee to confirm the specification. The accounts team cannot approve a change to work scope merely because it receives the invoice. Similarly, a request for access to a workplace must be arranged through the operating site rather than inferred from a general corporate acknowledgement. These distinctions help external parties reach the person with the appropriate authority. The company uses clear descriptions of roles so that a response about administration is not mistaken for approval of a transaction. Where an enquiry arrives through the wrong channel, staff provide direction rather than leaving the sender to guess which function should receive it.

The registered office provides an administrative point for formal company communications. Its role differs from customer support, which handles electricity accounts through established service channels. Separating those functions allows correspondence to be handled by people with relevant systems access and knowledge. Investor questions about published performance are also distinct from requests to alter ownership records. The secretary's office coordinates the former with corporate staff and directs the latter to the registry. The company seeks to retain that practical distinction in outgoing responses, identifying which matter has been answered and which requires another service. Administrative clarity matters particularly where a correspondent holds several relationships with the business, since being both a customer and a shareholder does not combine the underlying accounts or authorise the same employee to change both.